

While 60/40 is a solid first step, we posit that focusing solely on U.S. stocks and bonds is a mistake. In fact, this 60/40 approach presents a particularly difficult challenge to investors at the end of 2014, as we detail below.

U.S. stocks have returned a meager 4.9% per year from 2000 – 2014 and, factoring in inflation, have returned 1.90% per year, provided investors had the ability to sit through two gut-wrenching bear markets with declines of over 45%. According to [recent DALBAR studies](#), many have not. 1.9% per year is a far cry from the historical 6.47% that U.S. stocks have returned over the full period from 1900-2014.

One of the reasons for the subpar returns is simple – valuations matter. The price you pay influences your rate of return. Pay a below average price and you can reasonably expect an above average return, and vice versa. Valuations started the 2000s at extreme levels. The ten-year cyclically adjusted price-to-earnings (CAPE) ratio for U.S. stocks reached a level of 45 in December 1999, the highest level ever recorded in the U.S., as Figure 13 shows. (For those unfamiliar with valuation methods for stocks, we examine over 40 global stock markets and how to use global valuation metrics in our book [Global Value](#).) This high starting valuation set the stage for very poor returns going forward for investors buying stocks in the late 1990s.